



Wadhvani Ignite

CONCEPT BOOKLET

Module 7

Lesson 3 & 4: Lean Canvas

Context:

A Lean Canvas is a one-page business plan template that helps entrepreneurs and teams quickly map out and test their business ideas. It focuses on key aspects of the business model, providing a clear and concise overview of the various components of the business.

For startups, creating a Lean Canvas is crucial for quickly validating ideas, attracting initial funding, and pivoting based on feedback and learning. It allows for a clear presentation of the business model to potential investors and stakeholders.

For large companies, Lean Canvas can be a powerful tool for innovation, manage project risks, and align cross-functional teams. It promotes a structured yet flexible approach to exploring new business opportunities and sustaining growth.

Program overview, and your **Venture Journey** over 14 weeks

1. Problem Identification	2. Customer Identification & Needs Validation	3. Solution Idea Generation
Week 1-2	Weeks 2-4	Week 4
- Orientation - Develop Macro Industry-Problem view - Assemble "Real-World" Problems - Examine Chosen Problems - Analyze Problems	- Identify customer segments - Assess 'jobs-to-be-done' - Develop Customer Personas - Understand Customer Validation - Validate Customer-Problem fit - Pivot/Refine Customer-Problem Fit for Feasibility	- Understand Ideation techniques - Generate Solution Idea
4. Opportunity & Competition Mapping	5. Prototype Development & MVP	6. Opportunity Feasibility Assessment & Sizing
Week 5	Week 6	Week 7-8
- Identify Global competitors - Review Industry Trends and Estimate Market Size (TAM) - Introduction to Financial Planning	- Overview of Prototypes & MVP - Build an Initial Prototype - Prototype for Early Validation	- Map your Relative Position in the Market - Estimate Opportunity Size
7. Business Modelling	8. Marketing & Sales Strategy	9. Financial Management for Profitability
Week 8-9	Week 9-10	Week 11-12
- Examine Revenue Model - Revenue Models continued - Review and Organize the Lean Canvas - Build the LC for your Startup	- Understand Marketing & Sales - Recommend a Go-To-Market (GTM) Approach - Map a Sales Process	- Deep Dive into Financial Planning - Analyze the Path to Profitability - Understand Bootstrapping and Funding Options
10. Team & Talent Requirement	11. Orientation for Scale	12. Venture Idea Feasibility Presentation
Week 12	Week 13	Week 14
- Finding Co-founders and Mentors - Building an Initial Team	- Thinking Beyond the Prototype - Scale Opportunity & Orientation - Persuasive Story-Telling for a Viable Venture Idea - Pitch preparation	- Practice Pitch - Final Pitches

Learning Objectives:

Concepts covered in this Lesson that are important for you to understand and be able to apply include:

1. Lean Canvas and its importance
2. Lean Canvas and its components
3. How to use Lean Canvas as an idea stage venture
4. Key Metrics & why they are important

By the end of the lesson you should be able to

- Grasp the 'Lean Canvas' concept in business modelling.
- Critique Lean Canvas model for Ventures
- Develop an initial Lean Canvas model for your Venture
- Be able to use customer feedback to iterate your business model

Lean Canvas and its importance:

Lean Canvas was developed by Ash Maurya in 2010. It is an adaptation of the Business Model Canvas created by Alexander Osterwalder.

Lean Startup Principles: Maurya designed Lean Canvas to incorporate Lean Startup principles, emphasizing rapid experimentation and iteration. Lean Canvas is favored over the traditional Business Model Canvas for its

- Simplicity
- focus on customer problems
- suitability for rapid iteration and validation.

It provides a practical, efficient framework for startups to test and refine their business models, aligning with the agile and lean approaches crucial for early-stage ventures.

Whether you review a Lean Canvas from a start-up's or a large organization's perspective, both perspectives emphasize the

importance of Lean Canvas in strategic planning, fostering innovation, and ensuring alignment with market needs and business goals.

Lean Canvas		Designed for:	Designed by:	Date:	Version:
Problem	Solution	Unique Value Proposition	Unfair Advantage	Customer Segments	
Top 3 problems	Top 3 features	Single, clear and compelling message that states why you are different and worth buying	Can't be easily copied or bought	Target Customers	
Existing Alternatives	Key Metrics	High-Level Concept	Channels	Early Adopters	
List how these problems are solved today.	Key activities you measure	List your X for Y analogy (e.g. YouTube = Flickr for videos)	Path to customers	List the characteristics of your ideal customers.	
Cost Structure			Revenue Structure		
List your fixed and variable costs. Customer acquisition costs Distribution costs Hosting People Etc.			List your sources of revenue. Revenue Model Life Time Value Revenue Gross Margin		

Lean Canvas is adapted from The Business Model Canvas (www.businessmodelgeneration.com/canvas). Word implementation by: Neos Chronos Limited (<https://neoschronos.com>). License: [CC BY-SA 3.0](https://creativecommons.org/licenses/by-sa/3.0/)

Before we delve into the 9 building blocks of the Lean Canvas, let us understand the importance of mastering this tool. Key things to review here include:

a. Focus on Validation

The Lean Canvas isn't about creating a static plan set in stone. Its core purpose is to **validate your assumptions about your business model**.

By focusing on the core building blocks – customer problems, value proposition, and channels – you can **quickly test your ideas** with real people and **gather valuable feedback**.

This allows you to **identify potential flaws early on, iterate your concept**, and ensure you're building a business that truly solves a customer need.

Example:

Imagine you have an idea for a new fitness app.

The Lean Canvas prompts you to **define the specific problem** your app solves (e.g., lack of engaging workout routines) and your **target customer** (e.g., busy professionals).

Through early testing and user feedback, you might discover that people actually crave a more social fitness experience.

This valuable insight allows you to **pivot** your app's focus towards creating a community aspect, potentially increasing its user base and success.

b. Reduced Risk of Failure

Launching a business is inherently risky. The Lean Canvas **helps you mitigate this risk** by encouraging a "**build-measure-learn**" approach.

Instead of pouring all your resources into a full-fledged product launch, you can create a Minimum Viable Product (MVP) – a basic version of your offering with core functionalities.

Using the Lean Canvas, you can then **test this MVP with your target audience, gather feedback**, and refine your concept before a major investment. This iterative process significantly reduces the risk of launching a product that nobody wants.

Example:

Let's say you have an idea for a new online grocery delivery service.

The Lean Canvas helps you **define your target customers** (e.g., families with limited time) and their **pain points** (e.g., long grocery store queues).

Before investing in a large fleet of delivery vehicles and a complex inventory system, you could start by partnering with a local store to offer limited delivery options within a specific area.

This MVP allows you to **test customer demand, refine your logistics, and gather crucial data before scaling your operations.**

c. Improves Communication & Alignment

The Lean Canvas is a fantastic **communication tool**. Its single-page format provides a clear and concise **overview of your business model**, making it easy for you to share your vision with potential investors, co-founders, or team members.

Everyone is on the same page, understanding the core problem, proposed solution, and target market. This **fosters collaboration and alignment**, ensuring everyone works towards the same goals.

Example:

You and your co-founder have a vision for a new educational platform.

The Lean Canvas helps you **define the specific learning gaps** students face (e.g., lack of interactive learning tools) and your target audience (e.g., high school students preparing for competitive exams).

By presenting this information on the Lean Canvas, you can **effectively communicate** your value proposition (e.g., gamified learning modules) and **secure your co-founder's buy-in** on the project's direction.

d. Enables Adaptability & Agility

The startup world is dynamic. Customer needs can evolve rapidly, and new technologies may emerge overnight. The Lean Canvas **promotes agility, allowing you to adapt your business model based on real-world feedback.**

As you gather data and insights through customer testing, you can easily adjust your solution, target market, or even pivot your entire business concept if necessary.

Example:

You've launched a new food delivery app, but your initial customer base seems limited to young professionals. Through **user feedback** captured using the Lean Canvas framework, you discover a growing demand for healthy meal options from families.

This **insight allows you to expand your target market** and potentially introduce a new family meal plan feature on your app, catering to a wider audience.

By embracing the core principles of Lean Canvas – validation, risk reduction, communication, and adaptability, you'll be well-equipped to navigate the exciting yet challenging world of entrepreneurship.

Remember, even the most brilliant ideas need to be tested and refined. The Lean Canvas empowers you to do just that, giving you the road map to turn your vision into a thriving reality.

Lean Canvas and its components:

The foundation of any Lean Canvas is its nine building blocks, which capture the essence of your business idea:

These include:

1. **Problem:** Identifies the top three problems your product or service aims to solve.
2. **Customer Segments:** Defines the homogenous group of people who form your target customers.
3. **Unique Value Proposition:** Describes what unique value you offer to your customers and why they should choose your product over others.
4. **Solution:** Outlines the top three features or solutions to address the problems identified.
5. **Channels:** Specifies how you will reach and communicate with your customer segments.
6. **Revenue Streams:** Details the ways your business will generate income.
7. **Cost Structure:** Lists the main costs involved in operating your business.
8. **Key Metrics:** Identifies the key performance indicators to measure your business's success.
9. **Unfair Advantage:** Describes what gives your business a competitive edge that is difficult to replicate.

How to use Lean Canvas as an Idea stage Venture:

For a new user of Lean Canvas, it is essential to remember that Lean Canvas is merely bringing the different components of the venture idea together. An effective use of the components requires you to identify and validate key assumptions (as mentioned above) around each of the components.

Validating assumptions is important as it allows you to develop a feasible venture idea worth pursuing. A step by step process that

you could apply to build out each of the components of Lean Canvas include:

1. Identify the Problem

Step: List the top three problems your target customers are facing.

Assumptions to Validate:

- **Relevance:** Are these problems significant enough for customers (do they care enough) to seek a solution?
- **Frequency:** How often do these problems occur for your target customers?
- **Urgency:** How urgent is the need to solve these problems?

Benefit: Focuses your venture on solving real and significant issues, ensuring you address genuine market needs.

2. Define Customer Segments

Step: Identify who your target customers are. Segment them into specific homogenous groups based on demographics, behaviors, or needs.

Assumptions to Validate:

- **Identifiability:** Can these customer segments (not just one or two individuals) be easily identified and reached?
- **Size:** Are these segments large enough to sustain and grow your business?
- **Willingness to Pay:** Are these segments willing to pay for a solution to these problems?

Benefit: Helps you understand who you are creating value for and tailor your solutions to meet their specific needs.

3. Develop Your Unique Value Proposition (UVP)

Step: Articulate what makes your product or service unique and why customers should choose it over alternatives.

Assumptions to Validate:

- **Differentiation:** Is your UVP truly unique compared to existing solutions?
- **Perceived Value:** Do customers perceive your UVP as valuable and compelling (enough to pay)?
- **Relevance:** Does your UVP directly address the customer problems identified?

Benefit: Clarifies your venture's competitive advantage and helps in creating a compelling pitch to attract early customers and investors.

4. Outline the Solution

Step: Describe the top three features or solutions your product or service offers to address the identified problems.

Assumptions to Validate:

- **Effectiveness:** Do these features effectively solve the identified problems?
- **Usability:** Are these features easy and intuitive for customers to use?
- **Demand:** Is there demand for these specific features among your target customers?

Benefit: Ensures that your solution is directly tied to the problems and value proposition, increasing the likelihood of product-market fit.

5. Determine Channels

Step: Identify how you will reach your customer segments. This could include online marketing, direct sales, partnerships, etc.

Assumptions to Validate:

- **Accessibility:** Are these channels accessible and effective in reaching your target customers?
- **Cost-Effectiveness:** Are these channels cost-effective given your budget constraints?
- **Engagement:** Do these channels facilitate meaningful engagement with your customers?

Benefit: Provides a clear roadmap for customer acquisition and engagement, which is crucial for early growth.

6. Define Cost Structure

Step: List the key costs involved in operating your business, such as *development, marketing, and operational expenses*.

Assumptions to Validate:

- **Accuracy:** Are your cost estimates accurate and comprehensive?
- **Sustainability:** Can your business sustain these costs in the long term?
- **Efficiency:** Are there opportunities to reduce costs without compromising quality?

Benefit: Helps you understand the financial requirements and plan for sustainability.

7. Establish Revenue Streams

Step: Define how your venture will make money. Consider different revenue models like subscription, direct sales, advertising, etc.

Assumptions to Validate:

- **Viability:** Are these revenue streams viable and sustainable?
- **Pricing:** Is your pricing strategy aligned with what customers are willing to pay?
- **Scalability:** Can these revenue streams scale as your business grows?

Benefit: Ensures that your business has a clear and viable path to profitability.

8. Identify Key Metrics

Step: Determine the key performance indicators (KPIs) that will measure the success of your venture. These might include user acquisition rates, customer retention, revenue growth, etc.

Assumptions to Validate:

- **Relevance:** Are these metrics relevant and aligned with your business goals?
- **Measurability:** Can these metrics be accurately measured and tracked?
- **Actionability:** Do these metrics provide actionable insights for decision-making?

Benefit: Provides a way to track progress and make data-driven decisions, essential for navigating the early stages of a startup.

9. Determine Your Unfair Advantage

Step: Identify what sets you apart from competitors that is not easily replicable. This could be proprietary technology, unique partnerships, or deep industry expertise.

Assumptions to Validate:

- **Defensibility:** Is your unfair advantage truly defensible and difficult to replicate?
- **Value:** Does your unfair advantage provide significant value to your customers?
- **Sustainability:** Can you maintain and leverage this advantage over time?

Benefit: Strengthens your position in the market by highlighting sustainable competitive advantages.

In summary, for Idea stage ventures like yours, Lean Canvas is an important tool to iteratively refine your venture idea . This involves as illustrated above, working diligently through each component of the Lean Canvas and validating key assumptions for each in order to check the feasibility of your venture idea.

In doing so it is also important to identify and measure the specific metrics based on the stage of the venture you are in, so that you can track your own progress effectively.

Please go through the Case Study SecurelyShare provided via this module to further understand how Prakash Bhaskaran the entrepreneur, built and evolved his Lean Canvas for his cyber security startup.

Call-To-Action:

Build a Lean Canvas model for your venture idea via Venture Activity 7.2

Use learnings and Guidelines:

Pay attention to the different assumptions that help determine feasibility as illustrated here and iterate your key components by validating them if you haven't done that already.

Outline your key metrics keeping in mind the stage that your venture idea is at so that you can measure effectively.

Remember that Lean Canvas is an iterative model that will evolve as you advance your venture idea, start up, and stabilize and grow your start-up.

Additional read

Key Metrics & why they are important:

Key metrics are essential for any business to track its performance, manage operations efficiently, and make informed strategic decisions. Key metrics are also sometimes difficult to determine as the output a venture has to achieve in order to move from milestone to milestone in the early stages of starting up can be varied. Those have to be determined by the founders by being aware of what indicators validate the key assumptions around their business model at that time of their venture.

However, there are some universally important key metrics that businesses across various industries might consider essential and it is important to be aware of them as one is navigating the venture creation process:

a) Revenue growth

This is perhaps the most straightforward metric, indicating the health and expansion of a business. It measures how much a company's income has increased over a specific period and is crucial for attracting investors and assessing long-term viability.

b) Profit Margins

Understanding profit margins—both gross and net—helps a business know how much money it's actually making after all expenses are paid. This metric is vital for pricing strategies, cost management, and overall financial planning.

c) Customer Acquisition Costs (CAC)

This measures the total cost of acquiring a new customer, including all marketing and sales expenses. It's crucial for evaluating the effectiveness of marketing strategies and understanding the value each customer brings to the business.

d) Customer Lifetime Value (CLV)

CLV predicts the total revenue a business can reasonably expect from a single customer account. It helps businesses develop strategies to maximize the value of their customer relationships, balance acquisition costs, and foster loyalty.

e) Employee Satisfaction & Turnover rates

Employee metrics are critical for assessing organizational culture and operational efficiency. High turnover can indicate deeper issues within the company, such as poor management or inadequate working conditions, which can affect productivity and incur higher costs due to the need for constant recruitment and training.

f) Net Promotion Score (NPS)

This measures customer satisfaction and loyalty by asking customers how likely they are to recommend the business to others. A high NPS is often correlated with strong revenue growth and customer satisfaction.

g) Inventory Turnover

For businesses that rely on physical stock, knowing how quickly inventory is sold and replaced can help optimize purchasing decisions and storage, reduce holding costs, and increase cash flow.

h) Operational Efficiency Ratio

These include a variety of metrics such as order fulfillment time and the ratio of sales to administrative expenses. They help businesses understand how well they are utilizing their resources to generate income.

i) Website traffic and online engagement

For digital businesses, metrics like daily/monthly active users, session duration, bounce rate, and conversion rates are crucial. They indicate the health of the online aspect of the business, customer engagement levels, and the effectiveness of online marketing efforts.

j) Market Share

This metric shows a company's control over its market compared to its competitors. Understanding market share helps businesses gauge brand strength, competitiveness, and overall market position.

Each of these metrics provides insights into different aspects of a business's performance and health, allowing leaders to

make targeted improvements and strategic decisions that align with their goals.